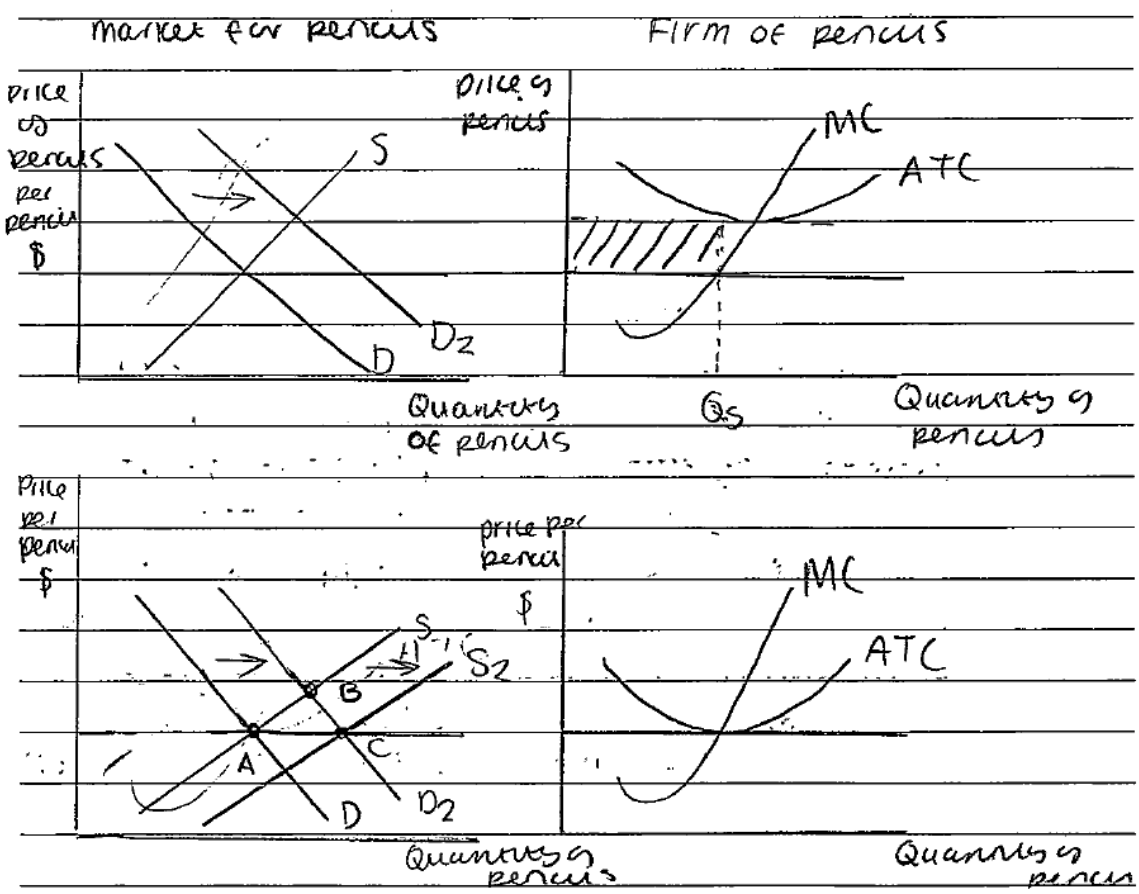
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a) Perfect competition is a market structure in which there are many firms and no barriers to entry which mean firms can easily enter or exit in addition perfectly competitive firms have no market power which means they are price takers and not price makers. Monopolistically competitive firms also have low barriers to entry and exit however they have some market power as their products can be differentiated using through branding or advertisment.

In perfectly competitive ~~firm~~ firm there is allocative efficiency as well as productive efficiency this is ~~a due to~~ means that the resources is being produced at socially optimal outputs in addition products are ~~per~~ being produced at lowest average total cost. This is due to firms having no market power so having to produce at lowest price consumers will have.
An example of a perfectly competitive firm is the firm of pencils, there are many substitutes for pencils so firms have to make it more attractive to consumers by having lower

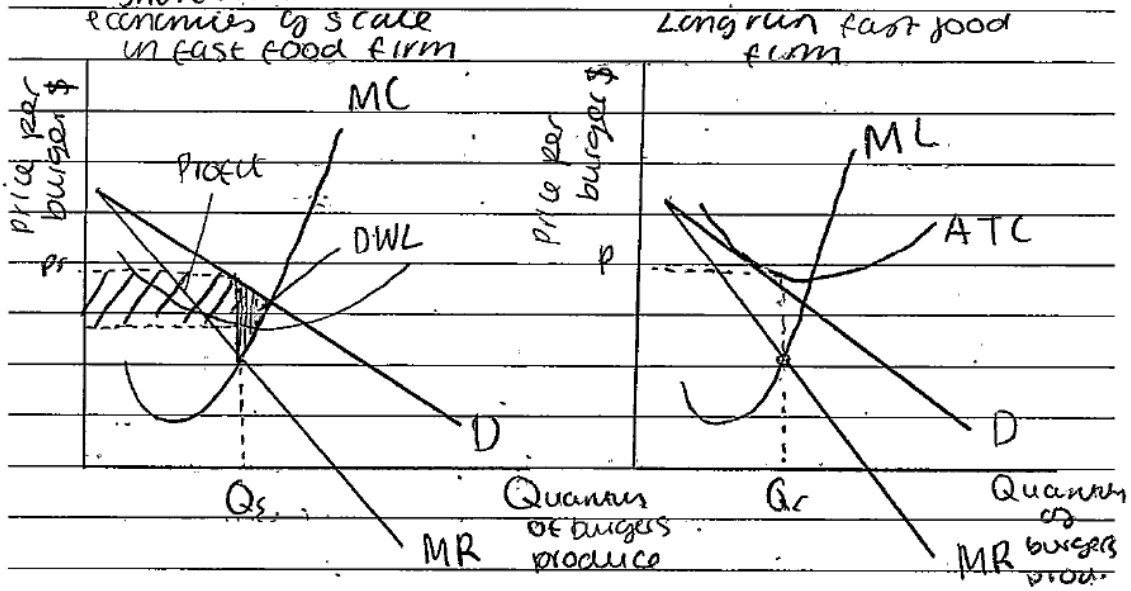
price. In addition perfectly competitive markets cannot reach economies of scale this is as when firms start making abnormal profits, since there are no barriers to entry other firms will enter and take up portion of profits until the firm is back to making normal profits.



As shown in the diagram above firms will always make normal profits due to no barriers to entry, firms joining until ATC touches P curve.

Similarly to perfect competition in monopolistic competition firms will always make normal profit in the long run as firms can enter the

market and take up portion of firms profits until reached normal profit. However in monopolistic ~~competition~~ competition there is not allocative efficiency or ~~productive~~ productive efficiency. Products are not produced at lowest average total cost. As in addition it is not allocatively efficient as the marginal benefit curve is above the demand curve. Allocatively efficiency occurs where MB = P.



As shown in the diagram above monopolistic competitive markets have a deadweight loss (DWL) due to allocative inefficiency and productive inefficiency.

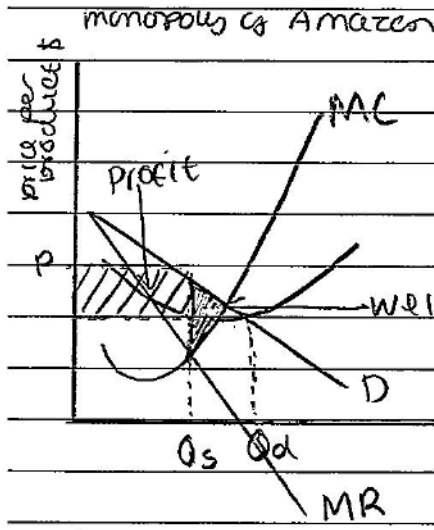
~~An example of monopoly~~ An example of monopolistic competitive firms is ~~a~~ are fast food brands for instance McDonalds and Burger King. The products are price are

Alternatively the same however is burgeoning ~~attempting~~ to change ~~attention~~ branding and create differentiation, will take portion of market- however McDonalds can also differentiate to take portion of Burger Kings profit and return to long run normal profit)

In conclusion both monopolistically competitive firms and perfectly competitive firms can only achieve normal profits in the long run due to low barriers to entry, ~~however some other~~ However some advantages of perfect competition is that they achieve allocative and productive efficiency and generate no welfare loss, ~~unlike monopolistically~~ unlike monopolistically competitive firms. competitive firms. ~~However there are some unrealistic assumptions of perfectly competitive firms as they assume cost of~~

However in perfect competition there is little consumer choice as products are not differentiated in addition it is unlikely for firms to be perfectly competitive due to ~~the~~ unrealistic assumptions, for instance cost of production being the same for all firms

b) Monopolies are single large firms with high market power, meaning they are price makers and set the price for consumers. When large firms have significant market power they reach economies of scale and become monopolies. This creates a variety of impacts on consumers and society.



~~Economies~~ Monopolies produce where MR=MC to maximise profits, this means they are producing a lower quantity for a higher price. This means consumers worse off as they are not willing to pay higher price for smaller quantity. In addition there is a shortage in

supply as Qd > Qs, consumers would be willing and able to buy for a higher quantity but it is not being produced.
Social impacts of having large firms with high market power means there is allocative inefficiency as well as productive inefficiency, MC > MB and ATC is not at its minimum.

An issue on higher prices for consumers with lower quantity has impact on redistributive effects. Low income people are proportionally more affected by higher prices than higher income people, worsening distribution of income.
In addition when firms reach economies of scale they can pursue price discrimination so people that are able and willing to pay still cannot.

An example of a monopoly is amazon, there are other firms with a similar purpose however amazon dominates market power and portion of market, having high economies of scale.
However,
There are also natural monopolies which can be seen to have a positive impact on society, this is due to it being beneficial to have one firm producing certain things for the lowest average total cost. For instance electricity companies are natural monopolies. It would be expensive for another firm to try compete, so worse off for society as they would have to pay a higher price.

Having large firms with significant market power can also be beneficial for society in the use of research and development. when firms are achieving economies of scale they can invest in finding new technologies that would have positive production externalities for all of society.

However overall, the impact of large firms having significant market power is worse off for society. This is due to higher costs and inefficiencies in production, even though some benefits may arise for example for research and development purpose, society is usually worse off. There are many actions in place to prevent monopolies, & for instance anti-merger legislations to prevent firms from merging and becoming a monopoly.

In my opinion society is worse off with monopolies due to the redistributive effects as well as higher prices for consumers and a lower quantity. The negative impacts of pure monopolies are higher than positive impacts of research and development.